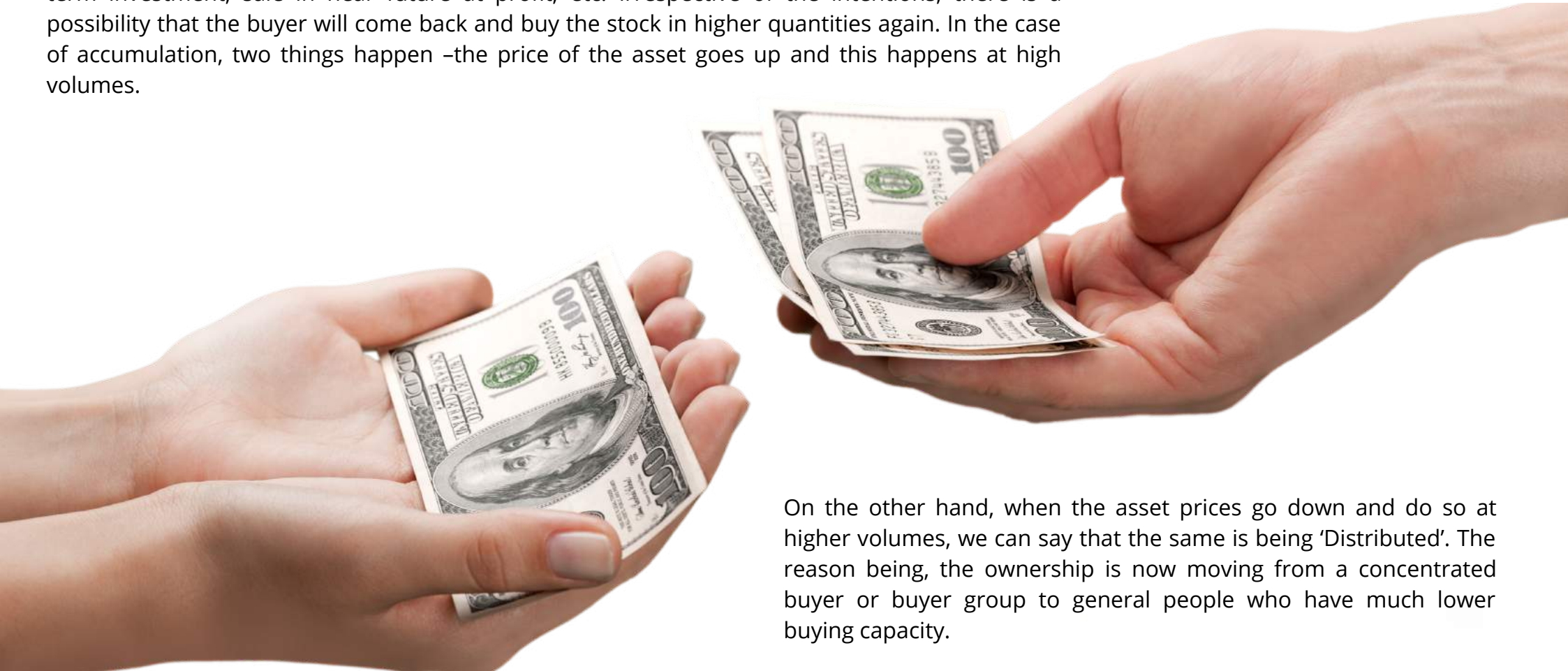


1 ACCUMULATION & DISTRIBUTION INDICATOR

Whenever an asset is being bought by a specific buyer or a small group of buyers repeatedly, it is said that the asset is being 'Accumulated'. The intentions of the buyer can be anything, i.e. long term investment, sale in near future at profit, etc. Irrespective of the intentions, there is a possibility that the buyer will come back and buy the stock in higher quantities again. In the case of accumulation, two things happen –the price of the asset goes up and this happens at high volumes.



On the other hand, when the asset prices go down and do so at higher volumes, we can say that the same is being 'Distributed'. The reason being, the ownership is now moving from a concentrated buyer or buyer group to general people who have much lower buying capacity.